

WHITEPAPER

A Neutral, Compliance-First Settlement Network for Cross- Border Stablecoin Payments

Hong Kong–anchored. Asia at the core. Chain-agnostic by design.

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Convened by **IOSG Ventures**

For circulation to prospective network participants,
licensed institutions, and public-sector stakeholders

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SECTION 01

01 Executive Summary & Vision

The Asia Payment Network (APN) is a permissioned, compliance-first, chain-agnostic settlement network for cross-border stablecoin payments, anchored in Hong Kong and serving Asia as its core demand region. It is a neutral coordination layer — not a payment company, not an issuer, and not a counterparty to any transaction.

What a reader should take away from this document is not who convened the network, but how the network itself works: its architecture, its rules, and the value it creates for the licensed institutions that join it. APN draws its architectural reference from the Circle Payments Network (CPN) — a three-tier model of Originating and Beneficiary Financial Institutions coordinated by an orchestration layer, a transparent three-tier fee structure, permissioned governance, and a single-API integration through which one connection reaches the entire network.

Why now

Stablecoins have crossed from crypto-trading instrument into genuine payment infrastructure. On-chain stablecoin transfer volume exceeded **USD 62 trillion** in 2025; but once bot and internal-transfer activity is stripped out, real economic activity was roughly **USD 4.2 trillion**, of which genuine real-economy payments were on the order of **USD 350–550 billion** (BCG). McKinsey and Artemis put real payments near **USD 390 billion**, more than doubling year-on-year, with B2B at ~USD 226 billion and Asia originating ~60% of the total. *Distinguishing "on-chain total" from "real payment volume" is the methodological foundation of this paper.*

Why Hong Kong

Hong Kong's Stablecoins Ordinance (Cap. 656) took effect on 1 August 2025, and on 10 April 2026 the HKMA issued its first two stablecoin-issuer licences (to HSBC and to the Standard Chartered-led Anchorpoint Financial). Hong Kong permits stablecoins referenced to any fiat currency — a natural fit for a neutral, multi-currency network, and complementary to the United States' dollar-only path under the GENIUS Act.

POSITIONING & RED LINES

APN is neutral, compliance-first, chain-agnostic, and open. This paper does not frame the network as a means to bypass or replace any existing system, and it does not touch sanctioned jurisdictions. **IOSG Ventures acts solely as convener, researcher, and equity investor in key companies** — it holds no licence, operates no payment service, and is never a counterparty or custodian. Member economics are described as network **design principles**, never as guaranteed returns.

SECTION 02

02 Market Context

2.1 The structural bottleneck in cross-border payments

The global cross-border payment market processes on the order of USD 190 trillion a year, yet its plumbing still rests on a correspondent-banking model designed in the 1970s. According to the World Bank, the global average cost of sending USD 200 was 6.65% in Q2 2024; a single international wire can cost up to USD 50, with intermediary banks deducting fees along the way.

- **Multiple intermediaries, sequential processing.** A single payment can pass through 3–5 banks over several days. SWIFT's own research notes that the SWIFT-network leg accounts for only ~20% of the journey — the remaining ~80% is spent in last-mile local clearing after the payment leaves the network.
- **Shrinking correspondent relationships.** BIS/CPMI reported that active correspondent-banking relationships fell ~20% over 2011–2018 globally, and ~30% across Latin America; banks exit high-risk, low-volume corridors, raising costs and weakening emerging-market reach.
- **Pre-funding drag.** Bilateral relationships require working capital parked in overseas accounts, locking up liquidity.
- **FX opacity.** Banks add a 2%–4% hidden spread over the interbank rate.

2.2 The stablecoin settlement opportunity

Stablecoin settlement completes in seconds, runs 24/7, and needs no correspondent chain. Local-clearing models such as Airwallex already prove the value of bypassing correspondents: combining 60+ licences with a proprietary network, Airwallex routes over 95% of transactions through local clearing rails across 127 countries, with ~94% settling same-day, on volume exceeding USD 266 billion a year. Stablecoins add a globally uniform USD/HKD value medium and programmability on top of this.

2.3 Where the real demand comes from

Demand source	Evidence
Chinese payment companies going global	Asia originates ~60% of real stablecoin payments (McKinsey/Artemis), concentrated in Singapore, Hong Kong and Japan. Hong Kong–hubbed firms such as RedotPay are carrying stablecoin collection and payout into emerging markets.
Fragile-currency emerging markets	In Latin America, 71% of institutions already use stablecoins for cross-border payments — the highest globally (Fireblocks 2025). Goldman Sachs Global Institute estimates ~66% of the ~USD 290bn stablecoin supply is held by emerging-market individuals hedging local-currency volatility. Turkey, Nigeria and Brazil are representative.
B2B and payouts	B2B stablecoin payments grew ~733% year-on-year (McKinsey/Artemis), the fastest-growing segment.

ON NO SANCTIONED MARKETS

APN's emerging-market focus is limited to jurisdictions with fragile local currencies and no sanctions exposure — Turkey, sub-Saharan Africa, South America — and is otherwise expressed in the abstract as "fragile-currency emerging markets." The network does not serve or route through sanctioned jurisdictions.

SECTION 03

03 Network Architecture

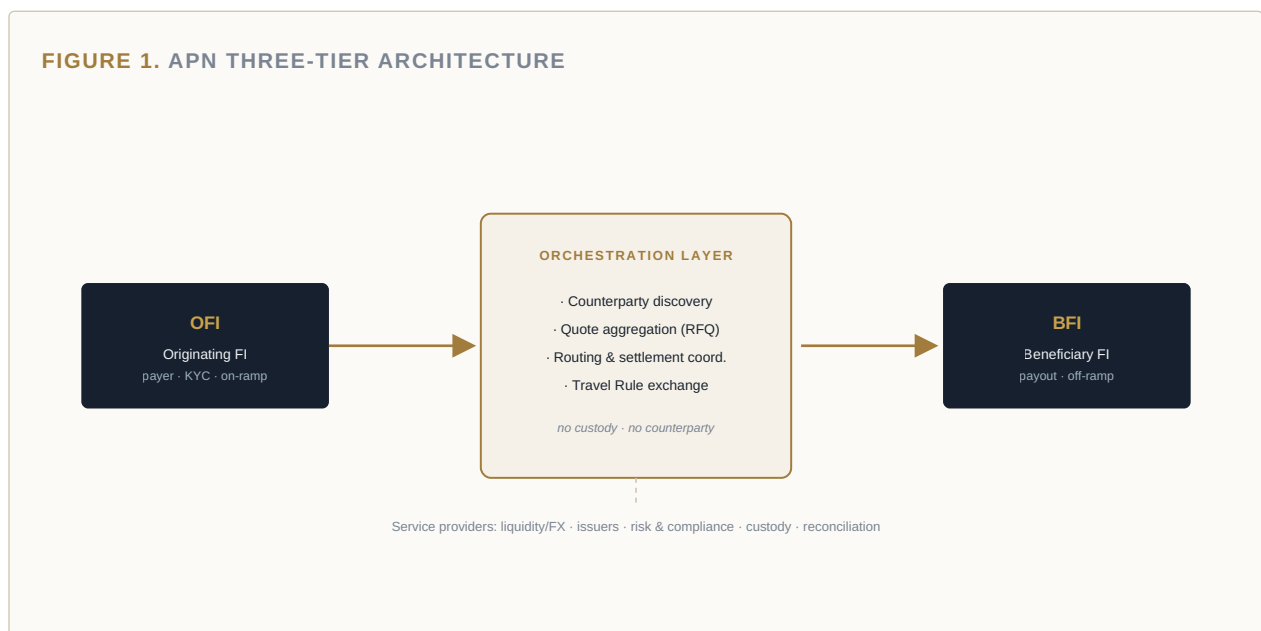
APN adopts a three-tier architecture. Around a core of Originating and Beneficiary Financial Institutions sits an orchestration layer that coordinates discovery, pricing, settlement and compliance — while never touching customer funds.

3.1 The three tiers

- **Originating Financial Institution (OFI).** Acts for the payer: performs customer KYC and compliance checks, and converts local currency into a settlement stablecoin (on-ramp).
- **Beneficiary Financial Institution (BFI).** Receives the stablecoin and completes the off-ramp — paying out destination fiat through local payment systems, or custodying the stablecoin at the beneficiary's election.
- **Orchestration Layer.** Performs member and counterparty discovery, quote aggregation (RFQ), routing, on-chain settlement coordination, and encrypted compliance-data (Travel Rule) exchange.

A single institution may register as both OFI and BFI. Around the core OFI–BFI path sits a ring of **service providers** — liquidity/FX venues, stablecoin issuers, risk and fraud tooling, reconciliation and reporting, credit, wallets and custody, compliance services — which plug into the network as value-adding participants rather than as intermediaries in the OFI–BFI transaction.

FIGURE 1. APN THREE-TIER ARCHITECTURE



3.2 Operator and governance boundaries

The defining principle: **the network operator is never a counterparty, holds no funds, and moves no funds.** This mirrors CPN's own positioning — CPN "does not move funds directly" but serves as a marketplace and coordination protocol, and its operating entity "does not hold funds or manage accounts on behalf of customers."

Actor	Role
Network operator / governor	Maintains the Rulebook, eligibility standards, and API/message standards; operates discovery, pricing, routing and settlement-coordination protocols; standardises compliance exchange; vets members and issues network credentials; runs continuous risk review, security and incident response.
Participating FI (member)	Holds its own licences; makes its own risk-based assessment of transactions and counterparties; executes on/off-ramp; bears transaction risk.
IOSG Ventures	Convener / organiser, researcher, and equity investor in key companies. Does not enter the transaction path, custody funds, or hold a licence. Government may support, incorporate into policy, or lend its platform — but this paper does not claim government endorsement or sponsorship.

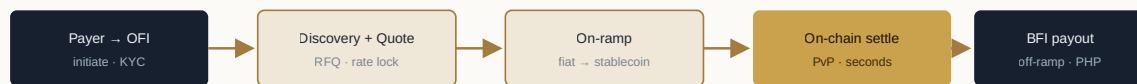
SECTION 04

04 The Settlement Lifecycle

A cross-border payment — a payer in market A paying out local currency to a beneficiary in market B through an OFI — moves through the network as follows.

- 1 **Initiation.** The payer initiates a request at the OFI (e.g. USD → PHP).
- 2 **KYC / compliance check.** The OFI completes payer KYC/AML and prepares Travel Rule data.
- 3 **Counterparty discovery.** Through a single API call, the OFI queries the corridor; the network returns executable quotes from multiple eligible BFIs.
- 4 **Quote & rate lock.** The network aggregates RFQ quotes and locks the FX rate, removing in-flight currency risk; the OFI selects the best BFI on price and operational preference, adds its own fee, and returns pricing to the payer.
- 5 **Compliance exchange.** The OFI sends encrypted Travel Rule and beneficiary data to the chosen BFI, which decrypts, verifies and approves.
- 6 **On-ramp.** The OFI ensures its operating wallet holds sufficient stablecoin (local currency → stablecoin).
- 7 **On-chain settlement.** The network generates the on-chain transaction object; the OFI signs and submits; stablecoin moves to the BFI wallet, typically within seconds.
- 8 **Off-ramp / payout.** On confirmation, the BFI pays out destination fiat through local payment systems and reports status back to the network.
- 9 **Finality & reconciliation.** Each transaction is uniquely identified and timestamped for compliance and audit; the network returns status to the OFI.

FIGURE 2. END-TO-END FLOW (USD → USDC/HKD STABLECOIN → PHP), TYPICALLY MINUTES



Compliance data (Travel Rule) exchanged encrypted between OFI and BFI throughout

End-to-end (e.g. USD → USDC → HKD) typically completes within minutes. Quote discovery happens off-chain via API (fast, private); settlement occurs on public chains.

SECTION 05

05 Economic Design Principles

APN's economics are stated as network design principles — how value is intended to flow among participants by contribution — not as promised or guaranteed returns.

5.1 The three-tier fee model

Fee	Purpose
Payout Fees	Compensate the BFI for local fiat payout and processing costs.
FX Spreads	Reflect liquidity risk and conversion cost.
Network Fees	A variable basis-point charge, tiered by country group, supporting the network's core compliance, security, infrastructure and development functions.

On-chain settlement carries a separate gas cost. As value-added services (risk, custody, accounting, compliance) are introduced by first- or third-party providers, usage-based service fees may layer on top.

5.2 Distribution principles

- **Contribution-linked.** Value flows toward members that genuinely provide payout capacity, liquidity, and compliance or technical services.
- **Non-discriminatory pricing.** Members of the same class, in the same role, are subject to consistent, transparent fee rules.
- **Jurisdiction-neutral.** Pricing and access do not discriminate by a member's home country; review depth scales with risk and compliance status, not nationality.

REGULATORY NOTE

In Hong Kong's regulatory context, any promise of return to an unlicensed party may cross a regulatory line. APN therefore strictly avoids "guaranteed return" language and describes only how fees flow within the network by contribution.

5.3 Industry reference on issuance economics (illustrative, not an APN commitment)

The recent wave of "consortium stablecoins" is instructive for network designers. On 30 June 2026, Open USD (OUSD) — backed by 140+ companies including Visa, Mastercard, Stripe, Coinbase and BlackRock, and governed by an independent entity — launched with free mint/redeem and reserve yield distributed to partners after management fees. It illustrates that a network's durable edge comes more from distribution and distribution design than from issuance alone. **APN does not issue a stablecoin and does not promise reserve-yield sharing; this is context only.**

SECTION 06

06 Compliance & Eligibility

APN is a permissioned network open only to licensed financial institutions, with compliance built into the protocol rather than bolted on.

6.1 Eligibility standards

- **Licensing.** Holds the licences required in its relevant jurisdictions.
- **AML/CFT and sanctions.** Meets FATF-aligned international standards and local law.
- **Financial and operational readiness.** Adequate financial strength, sound security controls, ability to meet SLAs.
- **Continuous review.** Pre-admission assessment plus periodic, risk-based re-assessment; members under robust regimes get standard review, others deeper scrutiny.

On approval, a member receives **network credentials** used for counterparty identification and due diligence — capturing status, jurisdictional scope and eligibility, and continuously updated.

6.2 Self-configured risk controls

Members define and enforce their own admission criteria for transactions and counterparties across four dimensions:

Dimension	Control
Geography	Permitted / prohibited corridors and jurisdictions.
Payment type	Permitted use cases (B2B, remittance, payroll, etc.).
Counterparty	Allow-lists and counterparty types.
Eligibility tier	Thresholds set by counterparty eligibility tier.

Each member retains the final right to approve or reject an inbound transaction.

6.3 Compliance-first, chain- and issuer-agnostic

- **Compliance built in.** Travel Rule enforced per FATF guidance; compliance data exchanged encrypted between OFI and BFI, with selective disclosure only to authorised parties under law.
- **Chain-agnostic.** No single blockchain is mandated; members choose per their own risk/compliance/operational needs.
- **Issuer-agnostic.** No single issuer is mandated; compliant stablecoins serve as settlement media, with new additions passing a governance assessment (reserve transparency, fiat liquidity, risk controls, reporting).

SECTION 07

07 Protocol, API & Interoperability

7.1 Single API, network effect

Integrate once, reach the whole network. A member connects through a single API and network protocol, and can then discover and connect to every other member's corridors — with no need to negotiate bilateral relationships or maintain multiple nostro accounts.

This is the same flywheel as CPN's "connect once and gain access to a growing network" and Stripe Connect's "one integration to global local payment methods and compliance."

7.2 Message standards and programmability

- **Message standards.** Standardised models for quotes, payments, transactions and compliance (Travel Rule) data, reducing the friction of onboarding new corridors; aligned with the ISO 20022 direction (global ISO 20022 migration completed November 2025).
- **Programmability.** Settlement occurs on programmable public chains, supporting smart-contract escrow, automated reconciliation, and conditional triggers (e.g. release on trade-document verification). The design remains non-custodial.
- **Depth of control.** This paper describes architecture and interface design intent, not protocol-level code.

7.3 AI-agent payments — a forward-looking interface

Machine-to-machine and agentic payments are emerging, with stablecoins the natural settlement medium. Relevant open protocols include Coinbase's **x402** (instant stablecoin payment over HTTP 402), Google's **AP2** (Agent Payments Protocol, a verifiable-credential authorisation framework), and Stripe/Tempo's **MPP** (Machine Payments Protocol). APN's interface design reserves programmable space to connect such agentic settlement in future.

SECTION 08

08 The Clearing & Stablecoin Layer

8.1 Multi-currency HKD/USD PvP settlement

APN uses HKD and USD stablecoins as its present-day settlement media, with a Payment-versus-Payment (PvP) design that eliminates settlement risk: the two currency legs are atomically bound, so if either leg fails, neither completes — removing principal credit exposure.

CPN's own roadmap sets out 24/7 PvP on-chain settlement with a built-in FX engine (RFQ price discovery); APN adopts the same principle.

8.2 Chain-agnostic clearing

The clearing layer binds to no single chain or issuer. Members choose their operating chains; the network orchestrates settlement across source and destination chains and uses cross-chain protocols for interoperability.

8.3 Offshore RMB (CNH): a forward-looking research topic only

Hong Kong permits stablecoins referenced to any fiat currency, so a CNH stablecoin is legally conceivable but requires coordination with mainland monetary authorities. The market already shows CNH instruments licensed outside Hong Kong; the HKMA has publicly cautioned on unlicensed marketing. **APN treats CNH strictly as a forward-looking research topic** — any design premised on compliance, jurisdiction-neutrality and regulatory coordination, and never a present-day settlement commitment.

SECTION 09

09 Governance

- **Neutral governance.** Network rules are set by the governor and published; an advisory council incorporates member feedback; periodic review and independent audit cover volume, availability and member compliance.
- **Jurisdiction-neutral.** Access and pricing do not discriminate by a member's home country; review depth is layered by risk and regulatory regime.
- **No single controlling party.** Drawing on consortium-network governance (e.g. a partner-board model), APN avoids any single entity controlling issuance, reserves or rules. The goal is a neutral network jointly owned and maintained by many parties; IOSG is convener only.

SECTION 10

10 Participant Value Propositions

What each type of member gains from joining the network.

Member type	What they gain
Stablecoin issuers	Become a network-recognised settlement medium with multi-member distribution and liquidity venues; must meet governance standards for reserve transparency, fiat liquidity and compliance reporting.
PSPs / payment institutions	One integration reaches every corridor on the network, removing bilateral negotiation and pre-funding; self-configure risk controls; retain pricing and the customer relationship.
Banks	Upgrade cross-border business with a compliant, programmable clearing layer; participate as OFI/BFI or as a liquidity/FX provider; reduce correspondent-banking dependence.
Card issuers	Plug into stablecoin collection and payout to support multi-currency card settlement (cf. the Visa / Mastercard stablecoin-card roadmap).
Compliance service providers	Join as service providers offering Travel Rule, risk, reconciliation and audit capabilities — a new revenue line inside the network.

SECTION 11

11 Precedents & Applications

The APN design is not speculative. Each of its pillars is already validated in production by leading networks and companies.

11.1 Circle Payments Network (CPN) — the closest architectural reference

CPN launched its mainnet in May 2025 and is APN's most direct architectural reference: the OFI/BFI/orchestration three-tier model, the three-tier fee model, permissioned governance, chain-agnosticism, and single-API access. Key data points:

- **Scale.** Circle's January 2026 reporting cited roughly USD 3.4 billion in annualised volume since the May 2025 launch. A separate third-party compilation (reading SEC filings and announcements) cites ~55 enrolled institutions, ~74 in eligibility review, and ~USD 5.7 billion annualised trailing-30-day volume as of February 2026 — flagged as unverified; rely on Circle's official disclosure.
- **Corridors.** Brazil, China, Colombia, Hong Kong, Mexico, Nigeria live; India, Philippines, Singapore, EEA, UAE, US expanding.
- **Hong Kong.** Circle's CEO has described inbound flow to Hong Kong as one of the most popular cross-border settlement routes on CPN, calling the market "important and attractive"; BFIs such as Tazapay support compliant fiat payout into Hong Kong.
- **CPN Managed Payments.** For banks/PSPs/fintechs that prefer not to handle digital assets directly — custodial stablecoin payments across USDC and 20+ chains.
- **Governance.** Circle is governor, standard-setter and operator; it does not custody funds or act as counterparty.

11.2 Circle Open Issuance / Open USD — issuance and shared liquidity

The industry is moving toward third-party issuance and shared-liquidity networks. Open USD (OUSD) launched on 30 June 2026, governed by an independent entity with 140+ partners, free mint/redeem, reserve yield distributed to partners, and partner-board governance. Stripe's Open Issuance (September 2025) lets any business issue its own stablecoin "in a few lines of code," with reserves managed by BlackRock, Fidelity and Superstate. **The lesson for APN:** the clearing layer should be stablecoin-agnostic, support multi-issuer shared liquidity, and design issuance economics as shared rather than exclusive.

11.3 Stripe — platform enablement and developer ecosystem

- **Stripe Connect** lets platforms onboard with zero licence, with Stripe carrying KYC, compliance and money-movement; platforms set fees and share revenue without becoming a licensed money transmitter.
- **Bridge acquisition (USD 1.1bn, closed 2025)** brought stablecoin orchestration; Bridge received an OCC conditional national-trust-bank charter in February 2026.

- **Tempo**, a payments-focused L1 built with Paradigm, went to mainnet in March 2026 (Series A at a USD 5bn valuation, October 2025).
- **Stablecoin Financial Accounts** let businesses hold and move USDC/USDB in 101 countries.

The lesson for APN: a neutral orchestration layer plus a single API plus a developer ecosystem is the engine of the network effect. APN positions itself as a neutral coordination layer, not a single company's chain.

11.4 RedotPay — emerging markets + Hong Kong hub

- **Scale.** As of November 2025: 6M+ registered users, 100+ markets, USD 10bn+ annualised payment volume, USD 150M+ annualised revenue.
- **Funding.** USD 107M Series B (December 2025, Goodwater lead, with Pantera, Blockchain Capital, Circle Ventures), reaching USD 194M raised in 2025.
- **CPN integration.** Joined CPN in June 2025 as an OFI supporting USDC payments into Brazil, auto-converting stablecoin to BRL and bypassing correspondents.
- **Licensing.** Holds Hong Kong Money Lender and TCSP licences, plus registrations in Argentina, Canada and the US.

11.5 Airwallex / Wise — local clearing + cross-border network

Airwallex validates the "build local clearing, bypass correspondents" path: with 60+ licences and a proprietary network, it routes 95%+ of transactions through local rails across 127 countries, ~94% same-day, on USD 266bn+ annual volume. **The lesson for APN:** a stablecoin clearing layer is complementary to local clearing — stablecoins solve the cross-border "middle leg," while local BFIs handle the "last-mile" fiat payout.

11.6 Stablecoin payment innovation — latest signals

- **Cost/efficiency.** Traditional emerging-market cross-border fees average ~USD 28–52 per transaction; stablecoin transfers are typically under USD 1, settling in seconds, 24/7.
- **Two measures of scale.** On-chain total (~USD 62tn in 2025, BCG) vs. real payments (~USD 350–550bn, BCG; or ~USD 390bn, McKinsey/Artemis). This paper insists on distinguishing the two.
- **Visa / Mastercard.** Mastercard announced (17 March 2026) the acquisition of stablecoin-infrastructure firm BVNK for up to USD 1.8bn; Visa's stablecoin-settlement annualised run-rate was ~USD 4.6bn as of March 2026 across 130+ card programmes.
- **AI-agent payments.** x402, AP2 and MPP/ACP combine agentic settlement with stablecoins, reserving forward space for APN's programmable interface.

SECTION 12

12 Roadmap & How to Participate

FIGURE 3. PHASED ROADMAP



12.1 The founding-member role

Founding members participate in shaping the Rulebook and technical standards, gain priority access to corridors, and share in network governance. Participation begins by submitting institutional credentials and use cases to the convener for eligibility review.

12.2 Thresholds that would change the plan

- **Accelerate.** First-corridor real-payment volume and member retention meeting set thresholds; clearer Hong Kong regulatory guidance on multi-currency stablecoin settlement; key BFIs covering target corridors.
- **Converge.** If real-payment volume falls short, key-corridor BFI coverage is thin, or regulatory uncertainty rises — narrow to fewer corridors and deeper compliance.

SECTION 13

13 Glossary & Disclaimer

Glossary

OFI	Originating Financial Institution — acts for the payer; performs KYC and on-ramp.
BFI	Beneficiary Financial Institution — receives stablecoin and completes off-ramp/payout.
PFI	Participating Financial Institution — a network member.
On/Off-ramp	Fiat-to-stablecoin / stablecoin-to-fiat conversion.
PvP	Payment-versus-Payment — atomic settlement that eliminates settlement risk.
RFQ	Request-for-Quote pricing mechanism.
Travel Rule	FATF requirement to share originator/beneficiary information on transfers.
Chain- / issuer-agnostic	Not bound to any single blockchain or stablecoin issuer.
Finality	Irreversible settlement completion.
FRS	Fiat-Referenced Stablecoin (Hong Kong Stablecoins Ordinance term).

Disclaimer

This whitepaper is informational, prepared on the basis of public information available up to July 2026, distinguishing established facts from projections; uncertain data is flagged. Descriptions of CPN, Stripe, RedotPay, Airwallex, Open USD and others are industry reference only and do not constitute an endorsement of any party. APN's member economics are network design principles — not promised returns or guaranteed yield — and nothing here is investment, legal or tax advice. IOSG Ventures acts solely as network convener, researcher and equity investor in key companies; it holds no licence, operates no payment service, and is never a counterparty or custodian. The role of government is stated as it actually stands; this paper does not claim government endorsement or sponsorship. Forward-looking statements are directional judgments, not definitive forecasts.